

# PRX.AS pitch deck

## PITCH — PRX.AS — VERDICT

**PROPOSED — PENDING ADJUDICATION** — Do not buy. No position, no orders. The company is real and the buyback works, but at €38.43 we are being asked to pay for a “37.5% discount” of which roughly a third is a wager on nineteen analysts’ private marks, and the discount has been widening about four times faster than the buyback adds value. We propose reopening the file only on price, not on time.

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### What we believe

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Prosus (Amsterdam: PRX) is a holding company. Almost everything it owns is a 22.8% stake in Tencent. Prosus publishes its own asset value: **\$150.4bn total, or €61.5 per share**, of which **\$117.0bn is Tencent**, \$7.6bn is other listed stakes, **\$32.8bn is unlisted private companies**, less **\$7.0bn of net debt** ([Prosus NAV page, 27-Aug-2026](#)). The shares trade at €38.43. That is a 37.5% discount to the company’s own number.

Three things we believe, in order of confidence:

1. **The discount got wider this year, not flatter.** Over the last twelve months Tencent fell 27.5% and Prosus fell 29.75%. Because Tencent is 77.8% of the asset value and the market cap is only 0.85× the Tencent stake net of debt, Prosus is *geared* about 1.25× to Tencent. Once you do that arithmetic properly, the discount went from roughly **28% to 37.5%** over the year — about 9.5 percentage points of drift against us.
2. **The buyback is real but small.** Prosus is retiring about **4.5% of its shares a year**, funded largely by selling Tencent shares (the stake fell from 22.996% in July 2025 to 22.8%, about 0.8%/yr). Buying back stock at a ~35% discount adds roughly **+2.4% per year** to asset value per share. Real, permanent, and losing to the discount drift by about four to one.
3. **The “35% discount to a hard asset base” is not what it looks like.** \$32.8bn — **21.8% of the whole asset value** — is unlisted private businesses carried at *the consensus of 19 sell-side analysts who published between 1 March and 30 June 2026* (the company says so on the NAV page). Those businesses threw off **\$275m of free cash last year**: a 0.84% cash yield on a \$32.8bn mark. Re-strike the discount with those private assets at half value and it is 29.8%; at zero it is **20.0%**. So the honest statement is: a 20% discount to things we can price, plus a leveraged bet on analyst marks.

Consequence: this is a geared China-internet proxy with a modest buyback, not a discount-closing special situation. It can be worth owning — at a price. Not at this one.

## What the market believes

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The market thinks roughly the same thing we do, and has said so in print. Goldman Sachs initiated coverage at **Neutral with a €41.00 target** — 6.6% above today's price — and its stated reason is that Prosus's weak operating cash flow forces it to keep *selling Tencent* to fund the buyback, which shrinks future asset value per share and keeps the discount wide ([coverage summary](#)).

Two nuances the market does hold that cut *for* the stock: - Goldman's own anchor notes the discount is around 30% versus a **historical average of 40%** — i.e. by history, the discount is narrow, not wide. - Morgan Stanley published a discount in June 2026 as both **48%** (using analyst price targets for the underlying assets) and **35%** (using traded values) in the same note.

So the consensus is not "Prosus is cheap and ignored." It is "Prosus is a fair-value Tencent wrapper with a governance and cash-flow problem." That is our view too.

## Why we might have edge

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Honestly: thin, and we should say so.

- **We found the marks problem and nobody frames it this way.** The published discount is quoted everywhere as a single number. We can show, from the company's own page, that the discount to *hard, quoted* assets is 20% and the remaining 17.5 points is a bet on private-company marks set by the same analyst community that publishes the discount. That circularity is a real analytical contribution, and it points at one testable object: the audited carrying values of the unlisted book.
- **We measured the gearing.** Both the original write-up and one of our own review benches treated Prosus as if it were 100% Tencent. It isn't; it's 1.25× Tencent. That correction is what turned "the discount widened 5 points" into "the discount widened 9.5 points" — and it changes the sizing answer completely.
- **We can watch the weekly buyback release** — it publishes both the Prosus shares bought back and the Tencent shares sold, which is exactly the pair of numbers everyone else reconstructs from estimates.

What we do **not** have: a computed month-by-month discount history (our broker data access was denied this session), the audited private-asset carrying values, or any independent read on whether the private businesses are growing or being harvested.

## Why it might be priced in

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Most of it is. Specifically:

- Goldman published our central mechanism — cash-poor operations forcing Tencent sales — before we arrived, with a price target *above* spot. Being late to a mechanism is not fatal on its own, but it removes the "market is ignoring this" premium.

- The discount to history is *narrow* (30% vs a 40% average on Goldman's read), so a mean-reversion buyer is buying above the historical average price, not below it.
- The controlled structure is decades old and fully known: Naspers holds high-vote shares, minorities cannot force a break-up, and the only realisation channel is the buyback. Nothing here is news.
- The stock is 6.3% off its 52-week low and 39.9% below its 52-week high. That is a stock in a live downtrend, not a stock that gapped down on a mistake. There is no dislocation to correct.

The one thing plausibly *not* priced is the composition question — that a fifth of the asset value is analyst-marked and yields under 1% in cash. But “not priced” is doing little work here, because the direction of that surprise is against us, not for us.

## What could go wrong

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**Failure narrative 1 — the marks come down and the discount doesn't (has a tripwire).** The FY26 annual report discloses audited carrying values for the unlisted book. If those come in materially below \$32.8bn, the published NAV per share falls, the “discount” we bought shrinks mechanically, and the stock does not rise to compensate — we simply learn we paid a higher price than we thought. The \$275m of cash from a \$32.8bn book (0.84%) says this is the live risk, not a tail. *Tripwire: annual report business-combination and investment notes; the same document also settles how Just Eat Takeaway was absorbed.*

**Failure narrative 2 — carry keeps losing to drift (has a tripwire).** +2.4%/yr of buyback accretion against ~9.5pp/yr of discount widening is a 4:1 loss rate. If the discount grinds from 37.5% to 45% while Tencent is flat, we lose ~12% with nothing wrong in the business at all. And the buyback that is supposed to fix it is being throttled: the company has committed **\$5bn for FY27** against an average of ~\$11.5bn/yr over the \$46bn programme, with roughly \$8bn of \$11bn of cash directed at acquisitions instead. *Tripwire: weekly repurchase releases; four consecutive weeks of declining consideration (the run has gone €74.5m → €81.4m → ~€69m) confirms the throttle.*

**Failure narrative 3 — the controller does something we cannot see coming (NO monitorable tripwire).** Naspers controls Prosus through high-vote shares. A cross-holding restructuring, a re-domiciliation, a scheme of arrangement, a change in the buyback mandate, or a related-party absorption can be announced on any morning with no observable build-up: there is no filing series, no order flow, and no public series that leads it. There is also no tripwire on Chinese policy action against Tencent, which sits underneath 78% of the asset value. **Unknown-unknown class: controller-discretion risk — value-relevant decisions made inside a control block with no external observer — compounded by policy discontinuity risk on the underlying asset.** We cannot instrument either. We can only size for them, and the correct response to an un-instrumentable risk is a smaller position, not a stop-loss.

**The reflexive and structural leg.** Our own size is not the problem: a 0.5–1.0% position on our book is trivial against an €80bn company (we did not measure PRX's average daily volume this session —

flagged below as unverified — but no plausible reading makes our order material). Three structural interactions do matter:

- **We would be buying alongside the company’s own bid**, which is roughly 5% of market cap per year. One of our review benches called this a reason to reject, invoking the rule against bidding into flow we ourselves predict. That rule is about bidding *ahead of forced selling*; a standing corporate bid is support, not adverse flow. The correct read is narrower and we adopt it: this is a **fill-quality** issue — our limits sit under a persistent, price-insensitive buyer, so passive fills at the bands below may simply never come, and we should expect to be filled mainly on days the buyback is *outgunned*, i.e. bad days. That is acceptable but should be stated.
- **The only exit mechanism is that same buyback**. Minorities cannot force the discount closed. So the position’s realisation path and its support are the same flow — there is no second door.
- **Portfolio interaction**. This looks like diversification away from US AI concentration and largely isn’t. A 1.25×-geared global-internet proxy correlates with the same risk appetite that drives the existing AI-heavy sleeve; and the buyback engine sells Tencent into weakness, meaning the wrapper de-gears exactly when we would want it geared.

If this position loses money, the most likely reason will be that we paid for a 37.5% discount that was really a 20% discount to things anyone can price plus a levered wager on nineteen analysts’ private marks, and the discount kept widening faster than the buyback could add value.

## What we checked ourselves

| Claim                                                    | How checked                                                         | Found                                                                                                                 | Confirmed?                                                              |
|----------------------------------------------------------|---------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------|
| “Discount is ~35% and flat”                              | Pulled Prosus’s own NAV page (27-Aug-26) and re-struck against spot | NAV/share €61.5 vs €38.43 → <b>37.5%</b> , and ~28% a year ago once gearing is respected — it <b>widened</b>          | <b>No — refuted</b>                                                     |
| Prosus’s asset value                                     | Company NAV page, primary                                           | \$150.4bn; Tencent \$117.0bn; other listed \$7.6bn; unlisted \$32.8bn; net debt \$7.0bn                               | <b>Yes</b>                                                              |
| “Record free cash flow of \$1.5bn”                       | FY26 results deep-dive vs the media release                         | <b>\$275m excluding Tencent dividends</b> ; \$1.2bn of the total is a Tencent dividend                                | <b>Yes — the headline is technically true and materially misleading</b> |
| “The rest of the business is embedded at less than zero” | Market cap \$94.0bn vs Tencent-minus-debt \$110.0bn                 | Implied <b>–\$16bn</b> for a \$40.4bn book — the sign holds                                                           | <b>Yes, but it is a statement about marks, not cash</b>                 |
| Buyback pace                                             | Weekly releases + programme disclosures                             | ~4.5%/yr of shares retired; H1 FY26 was 87.5m shares / \$4.6bn; <b>FY27 committed at \$5bn</b> vs \$11.5bn/yr average | <b>Yes — slowing</b>                                                    |
| Value added per share by the buyback                     | Retire 4.5% of shares at a ~35% discount                            | <b>+2.4%/yr</b> , not the +4% first claimed                                                                           | <b>Yes</b>                                                              |

| Claim                                     | How checked                          | Found                                                                                                                                                                                                                                         | Confirmed?                                                       |
|-------------------------------------------|--------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------|
| Are we saying something the street isn't? | Read the Goldman initiation          | GS Neutral, <b>€41 target</b> , same mechanism, published first                                                                                                                                                                               | <b>Yes — we are not divergent</b>                                |
| Is the unlisted book cash-generative?     | \$275m ÷ \$32.8bn                    | <b>0.84% cash yield</b> ; marks set by analyst consensus, per the company                                                                                                                                                                     | <b>Yes</b>                                                       |
| <b>Our own bench's error #1</b>           | Re-read the Morgan Stanley reference | Our first bench called the discount “48% in June” against a “35%” prior — but <b>both numbers are in the same note</b> , one on price targets and one on traded values. It compared two different denominators and called the gap “widening.” | <b>Bench was wrong; conclusion survived on repaired evidence</b> |
| <b>Our own bench's error #2</b>           | Recomputed the asset bridge          | Our first bench audited a placeholder €24bn for the non-Tencent book — then used the same placeholder in its own correction. The real figure is published (\$40.4bn), as is net debt (\$7.0bn, not the \$6.4bn used).                         | <b>Bench was wrong</b>                                           |
| <b>Our own bench's error #3</b>           | Checked internal consistency         | The same bench used the debt correction to make the discount <i>narrower</i> in one finding while arguing it had <i>widened</i> in another                                                                                                    | <b>Bench was wrong</b>                                           |
| <b>Our own bench's error #4</b>           | Definition check                     | Called Tencent's dividend a “liquidating distribution.” A dividend on a retained 22.8% stake is yield; the <i>share sales</i> are the liquidation.                                                                                            | <b>Bench was wrong (the underlying finding still stands)</b>     |
| <b>Our own bench's error #5</b>           | Doctrine check                       | Applied the rule against bidding into predicted flow to a standing corporate <i>bid</i> . Wrong instrument — it is a fill-quality point.                                                                                                      | <b>Bench was wrong</b>                                           |
| <b>Both benches' shared miss</b>          | —                                    | Neither bench fetched the company's own NAV page until the second pass; both worked from a placeholder for eight of the ten findings                                                                                                          | <b>Yes — process failure, now corrected</b>                      |

## PROPOSED ENTRY BANDS

**No entry now. No order. No position.** This is a reasoned refusal with named reasons, not a shrug: (a) 21.8% of the asset value is analyst-marked and yields 0.84% in cash, and (b) the buyback adds 2.4%/yr against ~9.5pp/yr of realised discount widening — roughly 4:1 against us.

**Reopen bands.** The gate is a *discount*, not a euro price, because the asset value moves with Tencent (about 0.78 of any Tencent move). The euro levels below are struck off the 27-Aug-2026 NAV of €61.5/share and **must be re-struck at every NAV update**. Reference points: hard-asset value with the private book at zero is **€48.09/share**; at half mark, **€54.80/share**.

| Band                    | Price (at €61.5 NAV) | Rule                                                                             | Size                 |
|-------------------------|----------------------|----------------------------------------------------------------------------------|----------------------|
| <b>Reopen / starter</b> | <b>€33.50</b>        | 45% discount to published NAV — <i>and</i> a 30% discount to hard, quoted assets | <b>0.50% of book</b> |

| Band                    | Price (at €61.5 NAV)        | Rule                                                                                             | Size                |
|-------------------------|-----------------------------|--------------------------------------------------------------------------------------------------|---------------------|
|                         |                             | alone. This is the first level where the private book can be worth nothing and we are still paid |                     |
| Add                     | €30.75                      | 50% discount to published NAV; 36% to hard assets. Only if the drift is price, not a NAV cut     | +0.50% (1.0% total) |
| Hard cap                | —                           | 1.5% of book, ever, given un-instrumentable controller and policy risk                           | —                   |
| No-work zone            | above €41.00                | Goldman's target and a ~33% discount; nothing to do, do not chase                                | —                   |
| File-closed-on-strength | above €46.65 (26-week high) | Discount closed without us; stop spending time on it                                             | —                   |

**Overriding condition on any entry:** if the FY26 annual report shows audited carrying values for the unlisted book materially below \$32.8bn, the euro bands above are **void** and must be recomputed from the reduced NAV before any order — a lower NAV means the same price is a smaller discount, not a bigger one.

**Non-price reopens (either alone reopens the file at current prices):** - Half-year FY27 free cash flow **excluding Tencent dividends above \$1bn** (vs \$275m). That would mean the private book is a business, not a mark. - A committed FY27 buyback of **≥\$9bn** with a stated floor on asset value per share. - Confirmation in the annual report tax note that Dutch participation exemption makes Tencent disposals tax-free — that would convert part of the discount from a permanent tax artifact into closable friction.

**Catalyst dates.** Weekly buyback release **~31-Aug-2026** (1 trading day out) — publishes shares repurchased *and* Tencent shares sold, the decisive pair. PayU investor deep-dive **3-Sep-2026** (~4 trading days) — we expect it to move nothing; a single segment against an asset base that is 78% Tencent cannot move the discount. Half-year FY27 results **~24–25 Nov 2026 — UNCONFIRMED**; the company's [events calendar](#) carries no results date and the 25-Nov figure is derived from a data vendor, not a company announcement. Tencent's own third-quarter results land in mid-November and matter more than anything Prosus does; we have not confirmed that date either.

**Position into all of the above: flat.**

## ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 30.75 (deck-provisional: 50% discount to published NAV; 36% to hard assets - add level, only if drift is price rather than a NA)
- dated pack PRX.AS|2026-08-31: PRX.AS: Weekly share repurchase release - shares bought back and Tencent shares sold; decisive read on buyback throttle (date confirmed=Fals

- dated pack PRX.AS|2026-09-03: PRX.AS: PayU investor deep-dive; expected immaterial to the discount (single segment vs a 78%-Tencent NAV) (date confirmed=False)
- dated pack PRX.AS|2026-11-25: PRX.AS: HY FY27 results - vendor-derived date, company events calendar carries no results date (date confirmed=False)

## What remains unverified

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- **The monthly discount history.** Broker market-data access was denied in this session, so the ~28% → 37.5% path is inferred from two endpoints plus the gearing correction, not measured. Both benches flagged this; it is the largest remaining hole.
- **Audited carrying values for the \$32.8bn unlisted book.** We have the company's analyst-consensus mark and nothing behind it. The full annual report exceeded our fetch limits.
- **Dutch participation-exemption treatment of Tencent disposals.** Plausible, unread. It determines whether a chunk of the discount is a permanent tax leak or closable friction.
- **The Just Eat Takeaway absorption accounting** — whether it carries separate audited statements or was pushed down inside a commonly-controlled perimeter.
- **The half-year results date.** Vendor-derived (2026-11-25); no company confirmation exists. The PayU deep-dive date (3-Sep) is likewise taken from secondary coverage.
- **Whether the private businesses are growing or being harvested.** No independent read at all — the app-review connector never ran.
- **PRX average daily volume.** Not measured this session. Our conclusion that our size is immaterial is a judgement about an €80bn company, not a measurement.
- **Spot price.** €38.425 from a retail data source; no broker confirmation. Bench readings ranged €38.425–€38.465, which changes nothing material.

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